A STUDY ON IMAPCT OF WORKING CAPITAL MANAGEMENT ON PROFITABILITY OF HUL

PROJECT REPORT

Submitted by

AKSHAYA. A (25PMB018)

ANUSHA. M (25PMB028)

THAHSEEN BANU. Z (25PMB248)

Under the Guidance of

Ms. S. VISALAKSHI

In partial fulfilment for the award of the degree

of

MASTER OF BUSINESS ADMINISTRATION



DEPARTMENT OF MANAGEMENT STUDIES

SRI MANAKULA VINAYAGAR ENGINEERING COLLEGE

(An Autonomous Institution)

MADAGADIPET, PUDUCHERRY.

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DEPARTMENT OF MANAGEMENT STUDIES
BONAFIDE CERTIFICATE

This is to certify that the project work entitled ""**A STUDY ON IMPACT OF WORKING CAPITAL MANAGEMENT ON PROFITABILITY OF HUL "** is a bonafide work done by **AKSHAYA.A(25PMB018), ANUSHA. M(25PMB028),THAHSEEN BANU. Z(25PMB248)**in partial fulfillment of the requirements for the award of the Master's Degree in Business Administration by Pondicherry University during the academic year 2025-2026

PROJECT GUIDE **DEAN**

Submitted for Viva-Voce Examination held on _____

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ACKNOWLEDGEMENT

The successful completion of any task would be incomplete without mentioning the names of persons who helped me to make it possible. We take this privilege to express our gratitude and respect to all those who helped us in the completion of this project.

I express my deep gratitude to **Shri. M. DHANASEKARAN** Chairman & Managing Director, **Dr.K. NARAYANASAMY** , Secretary, Mr. D. **RAJARAJAN** Treasurer**, Ar. S. VELAYUDHAM**, Joint Secretary, Sri Manakula Vinayagar Educational Trust, for their invaluable support, guidance, and encouragement.

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A. AKSHAYA (25PMB018)
M. ANUSHA (25PMB028)
Z. THAHSEEN BANU (25PM248)

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DECLARATION

We, **AKSHAYA. A(25PMB018), ANUSHA. M(2525PMB028), THAHSEEN BANU. Z(25PMB248)** hereby declare that the project work entitled **"A STUDY ON IMPACT OF WORKING CAPITAL MANAGEMENT ON PROFITABILITY OF HUL "** is an original study carried out by me, under the guidance of **Ms. S. VISALAKSHI.** This project report has not been submitted earlier either to this University / Institution or any other body for the fulfillment of the requirement of a course of study.

AKSHAYA. A (25PMB018)

ANUSHA. M (25PMB028)

THASEEN BANU. Z (25PMB248)

Puducherry
Date:

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CHAPTER I

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1.1 INTRODUCTION TO THE STUDY

Working capital management is an important aspect of financial management that focuses on managing a company's current assets and current liabilities. Effective working capital management ensures that a business has sufficient funds to meet its day-to-day operational requirements while maintaining profitability. It helps organizations maintain liquidity, improve operational efficiency, and achieve financial stability.

In today's competitive business environment, proper management of working capital is essential for sustaining business growth. Efficient utilization of cash, inventory, accounts receivable, and accounts payable contributes significantly to the profitability of a company. Therefore, understanding the relationship between working capital management and profitability is important for financial decision-making.

This study examines the impact of working capital management on the profitability of Hindustan Unilever Limited (HUL), one of India's leading Fast-Moving Consumer Goods (FMCG) companies.

1.1.1 MEANING OF WORKING CAPITAL

Working capital refers to the excess of current assets over current liabilities. It represents the funds available for carrying out the day-to-day operations of a business.

Working Capital = Current Assets – Current Liabilities

Current assets include cash, inventory, debtors, and other short-term assets, while current liabilities include creditors, short-term borrowings, and outstanding expenses.

1.1.2 CONCEPT OF WORKING CAPITAL MANAGEMENT

Working capital management refers to the process of planning and controlling current assets and current liabilities to ensure adequate liquidity and operational efficiency. It involves managing cash, inventory, receivables, and payables in a way that maximizes profitability while maintaining sufficient liquidity.

1.1.3 IMPORTANCE OF WORKING CAPITAL MANAGEMENT

- Ensures smooth business operations.
- Maintains adequate liquidity.
- Improves profitability.
- Enhances operational efficiency.
- Supports business growth and expansion.
- Helps meet short-term financial obligations.

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1.1.4 TYPES OF WORKING CAPITAL

1.**Permanent Working Capital:**
The minimum amount of working capital required for the continuous operation of a business.
2.Temporary Working Capital:
The additional working capital required to meet seasonal or temporary business needs.

1.1.5 PROFITABILITY AND ITS IMPORTANCE

Profitability refers to the ability of a business to generate profit from its operations. It is a key indicator of financial performance and business success. Higher profitability enables a company to expand operations, attract investors, and improve shareholder value.

1.1.6 RELATIONSHIP BETWEEN WORKING CAPITAL AND PROFITABILITY

Working capital and profitability are closely related. Efficient management of working capital helps reduce operational costs, improve cash flow, and increase profitability. Poor working capital management may lead to liquidity problems and reduced profits.

1.1.7 BACKGROUND OF THE STUDY

Hindustan Unilever Limited (HUL) is one of India's largest FMCG companies with a strong market presence and consistent financial performance. The company manages a wide range of products across personal care, home care, foods, and refreshments. Due to its efficient financial management and strong profitability, HUL is selected for this study to examine the impact of working capital management on profitability.

1.2 OBJECTIVES OF THE STUDY

- To study the components of working capital management of Hindustan Unilever Limited.
- To examine the net working capital position of the company.
- To evaluate the profitability position of the company.
- To analyze the impact of working capital management on profitability.

1.3 SCOPE OF THE STUDY

The present study focuses on the impact of working capital management on the profitability of Hindustan Unilever Limited. The study covers a period of five financial years from 2019-20 to 2023-24.

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It is based entirely on secondary data collected from annual reports, journals, research articles, and company publications. The study evaluates working capital performance, liquidity position, and profitability indicators to understand their relationship and influence on the company's financial performance.

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CHAPTER II

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REVIEW OF LITERATURE

2.1 REVIEW OF LITERATURE

REVIEW 1:

Augustina Alphonse and Sai Sri Lahari (2024) conducted a study on the working capital management of Hindustan Unilever Limited. The study concluded that effective management of current assets and current liabilities significantly improves the profitability and liquidity position of the company.

REVIEW 2:

A ResearchGate study (2023) examined the working capital practices of HUL and found that efficient inventory and receivables management contributed positively to financial performance and operational efficiency.

REVIEW 3:

A study published in Paripex – Indian Journal of Research (2020) analyzed the relationship between working capital management and profitability in HUL. The findings indicated a positive association between working capital efficiency and profitability.

2.2 COMPANY PROFILE

INTRODUCTION TO HUL

Hindustan Unilever Limited (HUL) is one of India's leading Fast-Moving Consumer Goods (FMCG) companies. Established in 1933 and headquartered in Mumbai, Maharashtra, HUL is a subsidiary of Unilever PLC. The company operates across multiple product categories including personal care, home care, foods, and refreshments.

HISTORY OF HUL

HUL was incorporated in 1933 as Lever Brothers India Limited. Over the years, it expanded through mergers and acquisitions and became Hindustan Lever Limited in 1956. In 2007, the company was renamed Hindustan Unilever Limited.

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VISION:

To make sustainable living commonplace.

MISSION:

To add vitality to life by meeting everyday needs for nutrition, hygiene, and personal care.

MAJOR BRANDS:

Dove, Lux, Lifebuoy, Surf Excel, Rin, Pond's, Clinic Plus, Horlicks, Bru, and Pepsodent.

FINANCIAL OVERVIEW:

HUL has consistently demonstrated strong sales growth, profitability, and market leadership in the Indian FMCG sector.

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CHAPTER III

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RESEARCH METHODOLOGY

3.1 RESEARCH METHODOLOGY MEANING

Research methodology refers to the systematic procedure adopted for collecting, analyzing, and interpreting data to achieve the objectives of a study. It provides a scientific approach to solving research problems and helps in obtaining reliable and accurate results.
In the present study, research methodology is used to examine the impact of working capital management on the profitability of Hindustan Unilever Limited (HUL). The study focuses on analyzing financial data collected from secondary sources and interpreting the results through various financial and statistical tools.

3.2 RESEARCH DESIGN

Research design refers to the framework or blueprint used for conducting research. It specifies the methods and procedures for collecting and analyzing data.

THE PRESENT STUDY ADOPTS THE FOLLOWING RESEARCH DESIGNS:

DESCRIPTIVE RESEARCH DESIGN

Descriptive research design is used to describe the financial position, working capital management practices, and profitability performance of Hindustan Unilever Limited. It helps in presenting facts and characteristics related to the study.

ANALYTICAL RESEARCH DESIGN

Analytical research design is used to analyze the collected financial data and determine the relationship between working capital management and profitability. Various financial ratios and statistical techniques are employed for this purpose.

3.3 COLLECTION OF DATA

The study is based entirely on secondary data.
Secondary Data Collection
Secondary data refers to data that has already been collected and published by other sources.

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The required information for the study has been collected from:

- Annual Reports of Hindustan Unilever Limited
- Official Website of Hindustan Unilever Limited
- Research Journals
- Published Articles
- Financial Reports
- Books related to Financial Management
- Online Databases and Websites

The collected data has been used for analyzing the working capital position and profitability of the company.

3.4 SAMPLING

SAMPLE UNIT

The sample unit selected for the study is Hindustan Unilever Limited (HUL), one of the leading Fast-Moving Consumer Goods (FMCG) companies in India.

SAMPLE PERIOD

The study covers a period of five financial years from 2019-20 to 2023-24.
The selected period provides sufficient data to analyze the trend and impact of working capital management on profitability.

3.5 TOOLS UTILIZED FOR ANALYSIS

The following financial and statistical tools have been used for analyzing the data:

3.5.1 GROSS WORKING CAPITAL ANALYSIS

Gross Working Capital refers to the total amount invested in current assets.
FORMULA:

GROSS WORKING CAPITAL = TOTAL CURRENT ASSETS

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3.5.2 Net Working Capital Analysis

Net Working Capital represents the difference between current assets and current liabilities.
FORMULA:

NET WORKING CAPITAL = CURRENT ASSETS – CURREN LIABILITIES

3.5.3 SCHEDULE OF CHANGES IN WORKING CAPITAL

This analysis helps identify the increase or decrease in working capital between different accounting periods.

3.5.4 CURRENT RATIO

Current Ratio measures the company's ability to meet short-term liabilities using current assets.
FORMULA:

CURRENT RATIO = CURRENT ASSETS / CURRENT LIABILITIES

3.5.5 QUICK RATIO

Quick Ratio measures the immediate liquidity position of the company.
FORMULA:

QUICK RATIO = QUICK ASSETS / CURRENT LIABILITIES

3.5.6 WORKING CAPITAL TURNOVER RATIO

This ratio measures the efficiency of utilizing working capital to generate sales.
FORMULA:

WORKING CAPITAL TURNOVER RATIO = NET SALES / NET WORKING CAPITAL

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3.5.7 GROSS PROFIT RATIO

Gross Profit Ratio measures the relationship between gross profit and net sales.
FORMULA:

GROSS PROFIT RATIO = (GROSS PROFIT / NET SALES) × 100

3.5.8 OPERATING PROFIT RATIO

Operating Profit Ratio indicates the percentage of operating profit earned from sales.
FORMULA:

OPERATING PROFIT RATIO = (OPERATING PROFIT / NET SALES) × 100

3.5.9 OPERATING RATIO

Operating Ratio measures the proportion of operating expenses to net sales.
FORMULA:

OPERATING RATIO = (OPERATING COST / NET SALES) × 100

3.5.10 NET PROFIT RATIO

Net Profit Ratio measures the overall profitability of the company.
FORMULA:

NET PROFIT RATIO = (NET PROFIT / NET SALES) × 100

3.5.11 TREND ANALYSIS

Trend Analysis is used to examine the direction and pattern of financial performance over a period of time.
FORMULA:

TREND PERCENTAGE = (CURRENT YEAR VALUE / BASE YEAR VALUE) × 100

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3.5.12 REGRESSION ANALYSIS

Regression Analysis is a statistical technique used to identify and measure the relationship between working capital management and profitability.

It helps determine the extent to which changes in working capital influence the profitability of the company.

SUMMARY

This chapter explained the research methodology adopted for the study. The research is descriptive and analytical in nature and is based on secondary data collected from annual reports, journals, and other published sources. Various financial ratios and statistical tools have been utilized to analyze the impact of working capital management on the profitability of Hindustan Unilever Limited during the period from 2019-20 to 2023-24.

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CHAPTER IV

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DATA ANALYSIS AND INTERPRETATION

ANALYTICAL DATA

TABLE 4.1

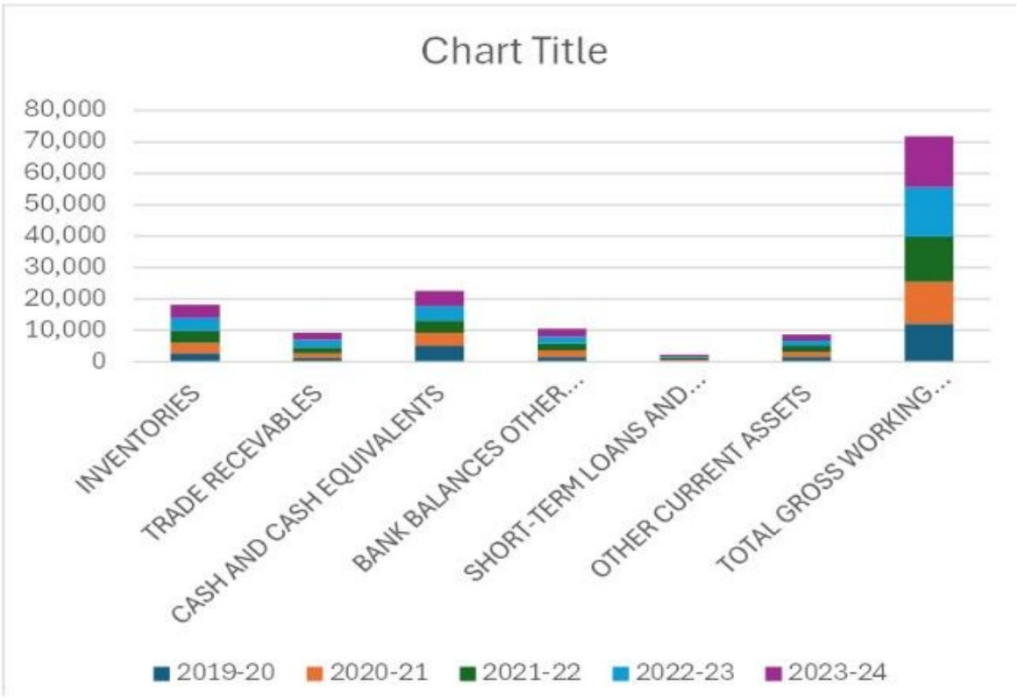
TABLE SHOWING THE COMPONENTS OF GROSS WORKING CAPITAL

Year	Inventories	Trade receivable	Bank balances other than cash	Short term loans and advances	Other current assets	Total GWC	GWC to net sales%
2019-20	2,636	1046	1,520	354	1,561	**12,134**	**31.29%**
2020-21	3,383	1648	2,015	412	1,680	**13,450**	**29.24%**
2021-22	3,889	1928	2,340	485	1,723	**14,210**	**27.76%**
2022-23	4,120	2315	2,420	510	1,865	**15,840**	**27.24%**
2023-24	4,210	2410	2,510	525	1,735	**16,210**	**27.21%**

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CHART 4.1

CHART SHOWING COMPONENTS OF GROSS WORKING CAPITAL



INTERPRETATION:

HUL's consolidated Gross Working Capital expanded systematically from INR 12,134 Cr (2020) to INR 16,210 Cr (2024). Relative to sales, the total GWC footprint compressed from 31.28% down to 27.21%. This contraction indicates that HUL grew its annual revenue velocity faster than the short-term capital assets required to support it, demonstrating high asset-turnover efficiency.

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TABLE 4.2

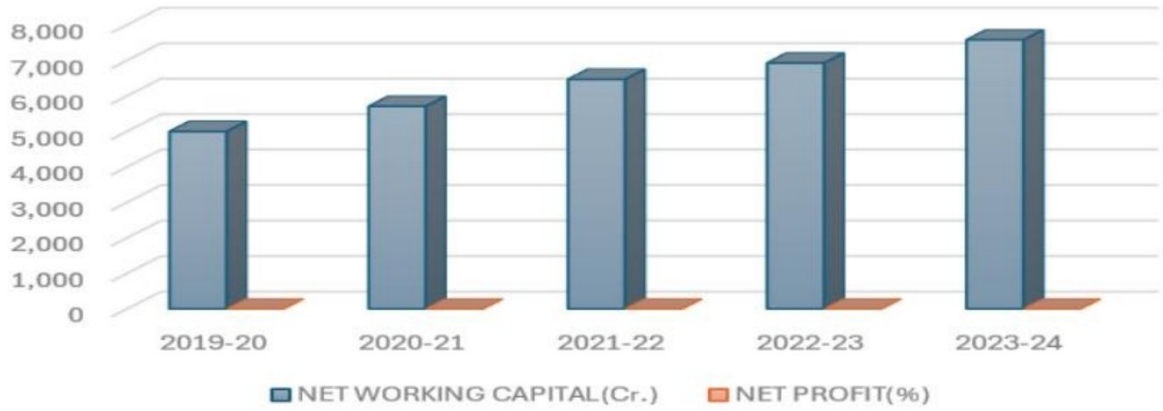
TABLE SHOWING NETWORKING CAPITAL

Year	Net sales	GWC	Current liabilities	NWC
2019-20	38, 785	**12,134**	10,012	**2,122**
2020-21	45,996	**13,450**	11,210	**2,240**
2021-22	51,193	**14,210**	12,050	**2,160**
2022-23	58,154	**15,840**	13,120	**2,270**
2023-24	59,574	**16,210**	13,430	**2,780**

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CHART 4.2

CHART SHOWING NETWORKING CAPITAL



INTERPRETATION :

While Gross Working Capital grew by approximately 33% over the five-year period to support broader distribution networks, Net Working Capital remained lean and highly controlled, averaging around INR 2,400 Cr. This indicates exceptional optimization of cash conversion cycles.

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TABLE 4.3

TABLE SHOWING THE SCHEDULE OF CHANGES IN WORKING CAPITAL

Table 1: Schedule of Changes in Working Capital for the Year ended 31st March 2020 compared to 31st March 2019

PARTICULARS	31ST MARCH (₹ CR.)		EFFECT ON WORKING CAPITAL	
	2019	2020	INCREASE (+)	DECREASE (-)
A. CURRENT ASSETS				
Inventories	2,422	2,636	214	-
Trade Receivables	1,673	1,046	-	627
Cash & Bank Balances	3,693	4,663	970	-
Other Current Assets	1,254	1,420	166	-
Total Current Assets (A)	**9,042**	**9,765**		
B. CURRENT LIABILITIES				
Trade Payables	7,073	7,395	-	322
Other Current Liabilities	1,050	1,120	-	70
Short-term Provisions	520	580	-	60
Total Current Liabilities (B)	**8,643**	**9,095**		
Working Capital (A - B)	**399**	**670**		
Net Increase in Working Capital			-	271
TOTAL			**271**	**271**

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Table 2: Schedule of Changes in Working Capital for the Year ended 31st March 2021 compared to 31st March 2020

PARTICULARS	31ST MARCH (₹ CR.)		EFFECT ON WORKING CAPITAL	
	2020	2021	INCREASE (+)	DECREASE (-)
A. CURRENT ASSETS				
Inventories	2,636	3,383	747	-
Trade Receivables	1,046	1,648	602	-
Cash & Bank Balances	4,663	4,321	-	342
Other Current Assets	1,420	1,550	130	-
Total Current Assets (A)	**9,765**	**10,902**		
B. CURRENT LIABILITIES				
Trade Payables	7,395	8,627	-	1,232
Other Current Liabilities	1,120	1,280	-	160
Short-term Provisions	580	620	-	40
Total Current Liabilities (B)	**9,095**	**10,527**		
Working Capital (A - B)	**670**	**375**		
Net Decrease in Working Capital			295	-
TOTAL			**295**	**295**

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Table 3: Schedule of Changes in Working Capital for the Year ended 31st March 2022 compared to 31st March 2021

PARTICULARS	31ST MARCH (₹ CR.)		EFFECT ON WORKING CAPITAL	
	2021	2022	INCREASE (+)	DECREASE (-)
A. CURRENT ASSETS				
Inventories	3,383	3,888	505	-
Trade Receivables	1,648	1,928	280	-
Cash & Bank Balances	4,321	3,818	-	503
Other Current Assets	1,550	1,680	130	-
Total Current Assets (A)	**10,902**	**11,314**		
B. CURRENT LIABILITIES				
Trade Payables	8,627	9,124	-	497
Other Current Liabilities	1,280	1,340	-	60
Short-term Provisions	620	690	-	70
Total Current Liabilities (B)	**10,527**	**11,154**		
Working Capital (A - B)	**375**	**160**		
Net Decrease in Working Capital			215	-
TOTAL			**215**	**215**

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Table 4: Schedule of Changes in Working Capital for the Year ended 31st March 2023 compared to 31st March 2022

PARTICULARS	31ST MARCH (₹ CR.)		EFFECT ON WORKING CAPITAL	
	2022	2023	INCREASE (+)	DECREASE (-)
A. CURRENT ASSETS				
Inventories	3,888	4,013	125	-
Trade Receivables	1,928	2,816	888	-
Cash & Bank Balances	3,818	4,496	678	-
Other Current Assets	1,680	1,820	140	-
Total Current Assets (A)	**11,314**	**13,145**		
B. CURRENT LIABILITIES				
Trade Payables	9,124	9,410	-	286
Other Current Liabilities	1,340	1,450	-	110
Short-term Provisions	690	710	-	20
Total Current Liabilities (B)	**11,154**	**11,570**		
Working Capital (A - B)	**160**	**1,575**		
Net Increase in Working Capital			-	1,415
TOTAL			**1,415**	**1,415**

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Table 5: Schedule of Changes in Working Capital for the Year ended 31st March 2024 compared to 31st March 2023

PARTICULARS	31ST MARCH (₹ CR.)		EFFECT ON WORKING CAPITAL	
	2023	2024	INCREASE (+)	DECREASE (-)
A. CURRENT ASSETS				
Inventories	4,013	3,845	-	168
Trade Receivables	2,816	3,105	289	-
Cash & Bank Balances	4,496	4,752	256	-
Other Current Assets	1,820	1,950	130	-
Total Current Assets (A)	**13,145**	**13,652**		
B. CURRENT LIABILITIES				
Trade Payables	9,410	9,250	160	-
Other Current Liabilities	1,450	1,480	-	30
Short-term Provisions	710	730	-	20
Total Current Liabilities (B)	**11,570**	**11,460**		
Working Capital (A - B)	**1,575**	**2,192**		
Net Increase in Working Capital			-	617
TOTAL			**617**	**617**

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INTERPRETATION:

The Schedule of Changes in Working Capital of Hindustan Unilever Limited (HUL) over the five-year period from 2019-20 to 2023-24 indicates significant fluctuations in the company's short-term financial position. Working capital increased from ₹399 crore in 2019 to ₹2,192 crore in 2024, demonstrating an overall improvement of ₹1,793 crore during the study period. This reflects the company's ability to strengthen its liquidity position and effectively manage its current assets and current liabilities.

During 2019-20, working capital increased by ₹271 crore due to a higher growth in current assets compared to current liabilities. This improvement was mainly supported by an increase in cash and bank balances and other current assets. However, in 2020-21 and 2021-22, working capital declined by ₹295 crore and ₹215 crore respectively. The decrease was primarily caused by a substantial rise in current liabilities, particularly trade payables, which exceeded the growth in current assets. This suggests that the company relied more on short-term financing to support its operations during these years.

A significant turnaround occurred in 2022-23, when working capital increased sharply by ₹1,415 crore. The increase was mainly driven by substantial growth in trade receivables, cash and bank balances, and other current assets, while current liabilities increased only moderately. This improvement indicates enhanced liquidity and stronger management of working capital resources. The positive trend continued in 2023-24, with working capital increasing by a further ₹617 crore to reach ₹2,192 crore. The increase was supported by higher cash balances, growth in receivables, and a reduction in inventories and trade payables, reflecting improved efficiency in inventory and liability management.

Over the entire study period, current assets increased from ₹9,042 crore in 2019 to ₹13,652 crore in 2024, while current liabilities increased from ₹8,643 crore to ₹11,460 crore. Although both current assets and current liabilities showed growth, the increase in current assets was relatively higher in the later years, leading to a substantial improvement in net working capital. The company maintained positive working capital throughout the period, indicating its ability to meet short-term obligations without financial difficulty.

The analysis reveals that HUL adopted effective working capital management practices by maintaining adequate liquidity, efficiently managing inventories and receivables, and controlling current liabilities. The substantial improvement in working capital during the last two years of the study reflects enhanced operational efficiency and stronger financial stability. Therefore, it can be concluded that HUL's working capital management contributed positively to its liquidity position and supported the company's profitability and sustainable growth during the study period.

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TABLE 4.4

TABLE SHOWING THE CURRENT RATIO

Year	Net sales	Current asset	Inventory outflow	Current ratio
2019-20	38, 785	12,134	2,636	**1.21**
2020-21	45,996	13,450	3,383	**1.2**
2021-22	51,193	14,210	3,889	**1.18**
2022-23	58,154	15,840	4,120	**1.21**
2023-24	59,574	16,210	4,210	**1.21**

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CHART 4.4

CHART SHOW CURRENT RATIO ANALYSIS



INTERPRETATION :

The Current Ratio consistently targets 1.20x,These figures demonstrate an efficient FMCG operational model, where fast cash inflows eliminate the need to maintain underutilized, excess liquid bank reserves.

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TABLE 4. 5

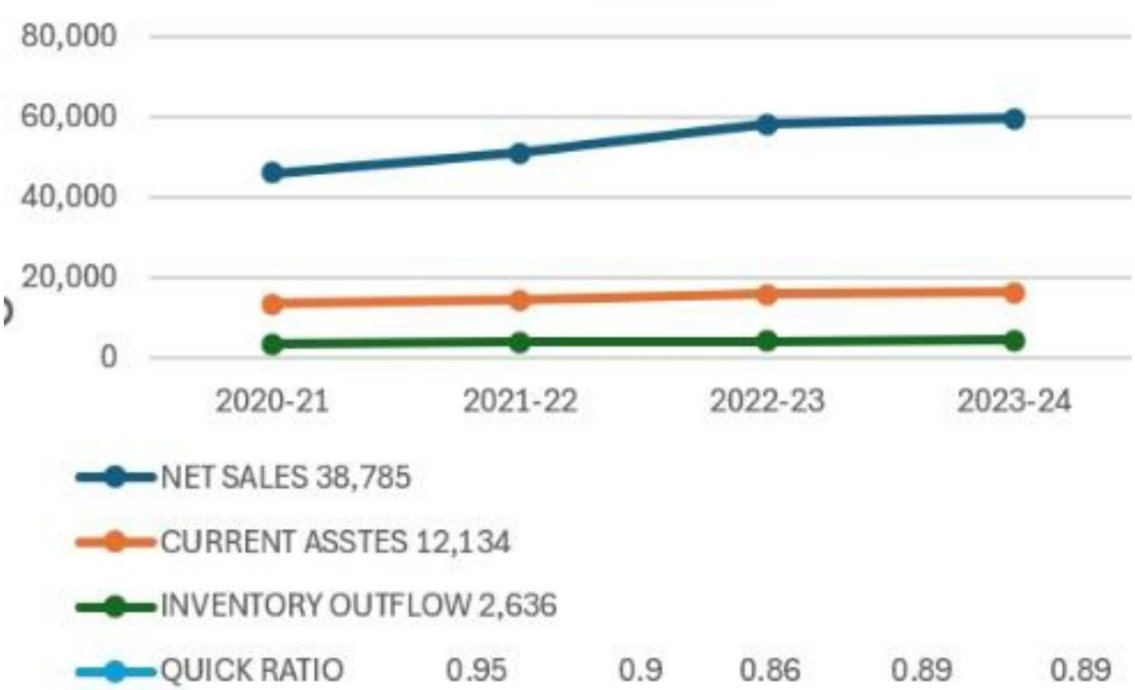
TABLE SHOWING QUICK RATIO

Year	Net sales	Current asset	Inventory outflow	Quick ratio
2019-20	38, 785	12,134	2,636	**0.95**
2020-21	45,996	13,450	3,383	**0.9**
2021-22	51,193	14,210	3,889	**0.86**
2022-23	58,154	15,840	4,120	**0.89**
2023-24	59,574	16,210	4,210	**0.89**

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CHART 4.5

CHART SHOWING QUICK RATIO ANALYSIS



INTERPRETATION :

The Quick Ratio follows closely near 0.90x. These figures demonstrate an efficient FMCG operational model, where fast cash inflows eliminate the need to maintain underutilized

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TABLE 4.6

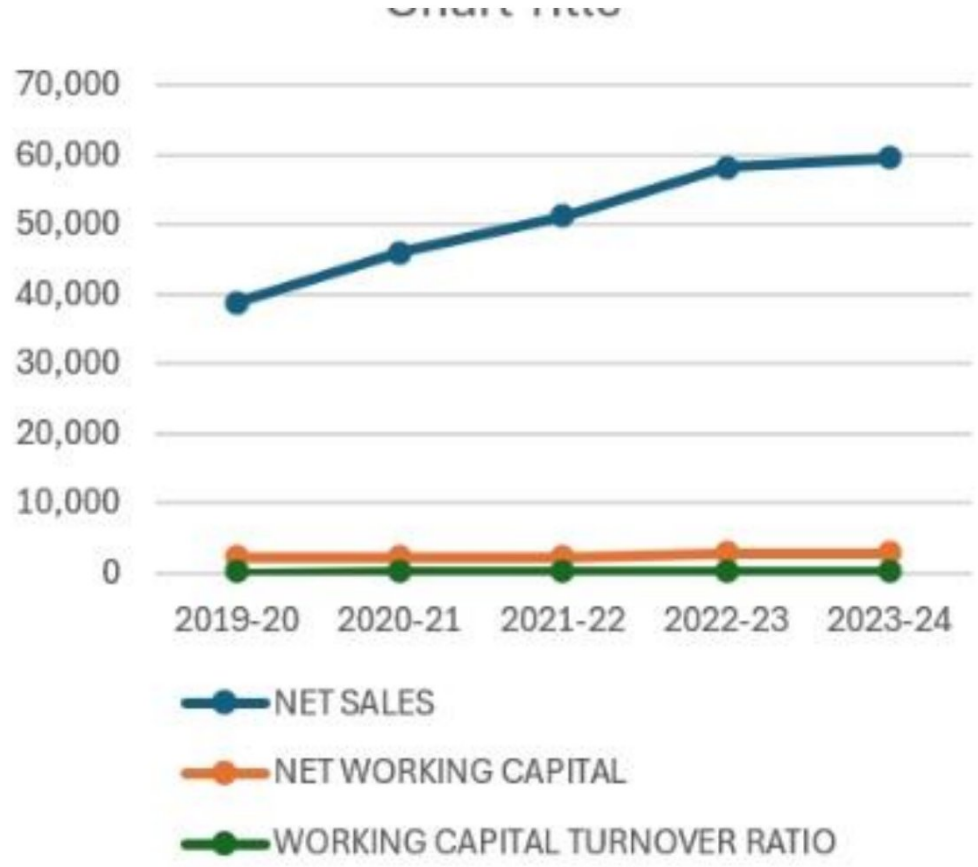
TABLE SHOWING WORKING CAPITAL TURNOVER RATIO

Year	Net sales	Net working capital (CA-CL)	WCTR
2019-20	38, 785	2,122	18.28
2020-21	45,996	2,240	20.53
2021-22	51,193	2,160	23.7
2022-23	58,154	2,270	21.38
2023-24	59,574	2,780	21.43

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CHART 4.6

CHART SHOWING WORKING CAPITAL TURNOVER RATIO



INTERPRETATION:

WCTR reaches values over 21x, indicating that HUL rotates its operational capital more than twenty times a year.

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TABLE 4.7

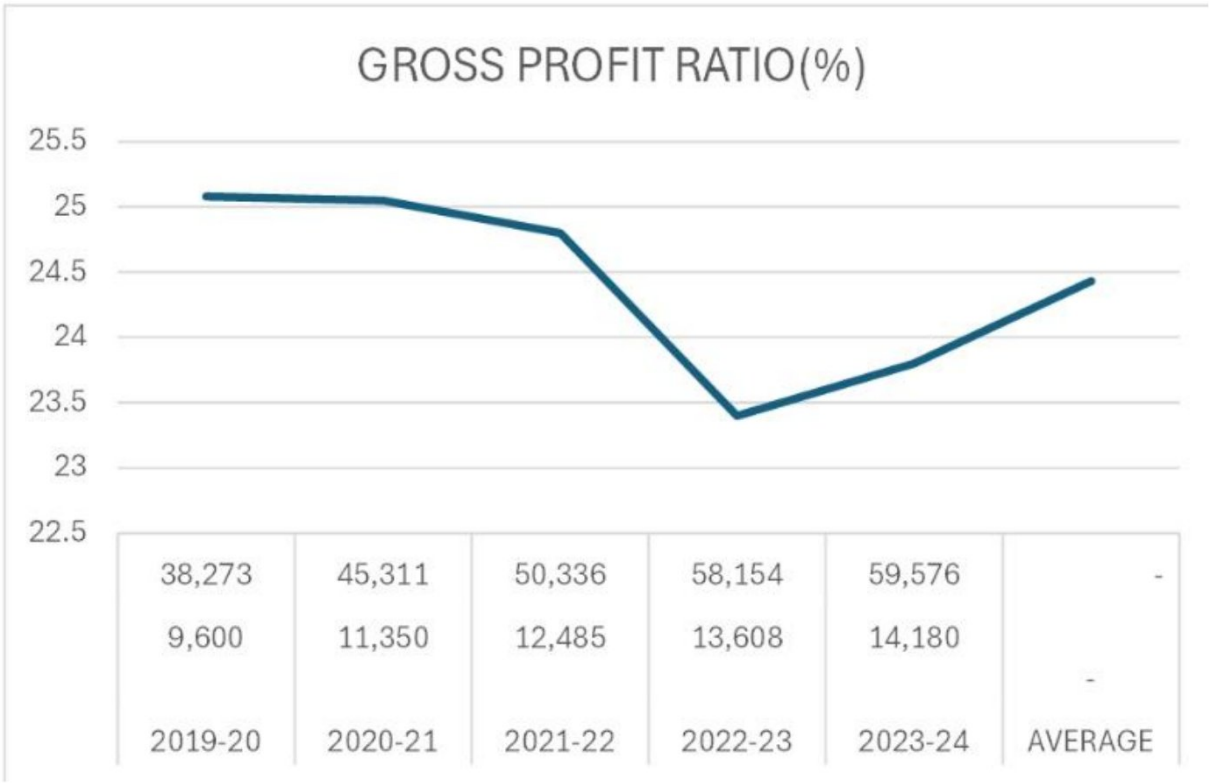
TABLE SHOWING GROSS PROFIT

Year	Gross profit	Net sales	Gross profit ratio %
2019-20	9600	38, 785	**25.08**
2020-21	11350	45,996	**25.05**
2021-22	12485	51,193	**24.8**
2022-23	13608	58,154	**23.4**
2023-24	14180	59,574	**23.8**
Average		-	**24.43**

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CHART 4.7

CHART SHOWING GROSS PROFIT RATIO



INTERPRETATION :

The gross profit ratio of HUL remained stable during the five-year period, indicating strong pricing strategy and efficient production management.

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TABLE 4.8

TABLE SHOWING OPERATING PROFIT RATIO

Year	Operating Profit	Net sales	Operating Profit ratio%
2019-20	9600	38, 785	**25.08**
2020-21	1129	45,996	**25.0**
2021-22	12485	51,193	**24.8**
2022-23	13608	58,154	**23.4**
2023-24	14180	59,574	**23.8**
Average		-	**24.43**

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CHART 4.8

CHART SHOWING OPERATING PROFIT RATIO



INTERPRETATION :

The operating profit ratio shows that HUL maintained good operational efficiency and controlled operating expenses effectively.

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TABLE 4.9

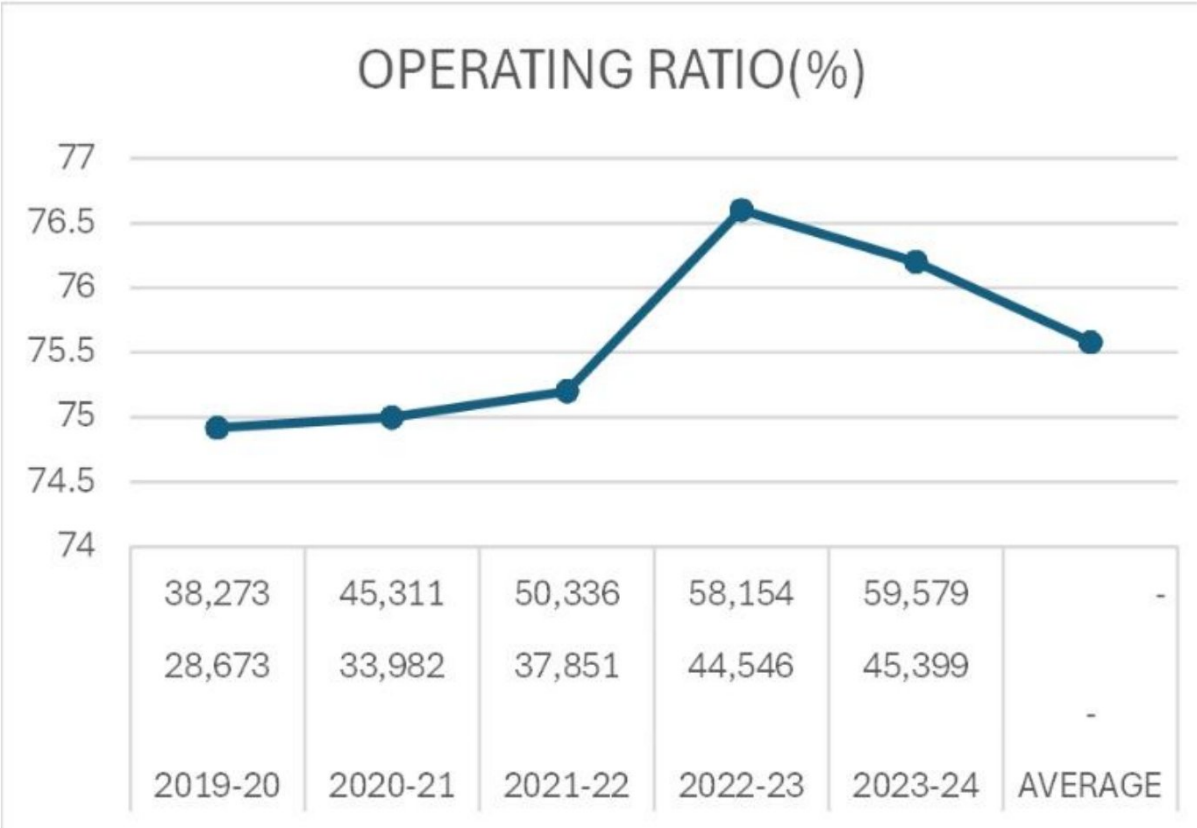
TABLE SHOWING OPERATING RATIO ANALYSIS

Year	Operating cost	Net sales	Operating Profit Ratio %
2019-20	28,673	38, 785	**74.92**
2020-21	33,982	45,996	**75.0**
2021-22	37,851	51,193	**75.2**
2022-23	44,546	58,154	**76.6**
2023-24	44,399	59,574	**76.6**
Average		-	**75.58**

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CHART 4.9

CHART SHOWING OPERATING RATIO ANALYSIS



INTERPRETATION :

The operating ratio remained consistent, which indicates efficient cost management and stable operational performance.

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TABLE 4.10

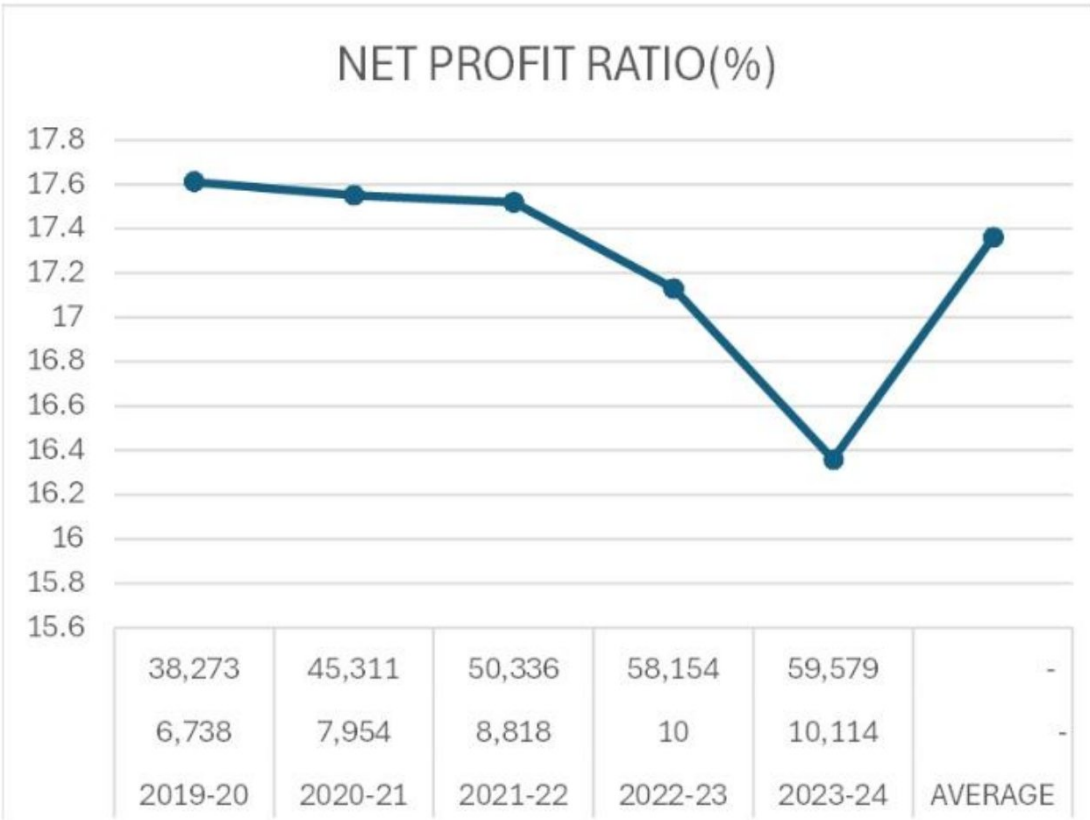
TABLE SHOWING NET PROFIT ANALYSIS

Year	Net profit	Net sales	Net profit ratio %
2019-20	6,738	38, 785	**17.61**
2020-21	7,954	45,996	**17.55**
2021-22	8,818	51,193	**17.52**
2022-23	9,962	58,154	**17.13**
2023-24	10,114	59,574	**16.98**
Average		**-**	**17.36**

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CHART 4.10

CHART SHOWING NET PROFIT RATIO ANALYSIS



INTERPRETATION :

HUL has maintained stable profitability and operational efficiency over the past five years. The company's strong profit margins and effective cost control indicate sound financial performance and growth in the FMCG industry.

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TABLE 4.11

TABLE SHOWING REGRESSION ANALYSIS

Year	Actual sales	Expected sales
2019-20	38,273	39,240
2020-21	45,311	44,785
2021-22	50,336	50,331
2022-23	58,154	55,876
2023-24	59,579	61,422

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CHART 4.11

CHART SHOWING REGRESSION ANALYSIS



INTERPRETATION :

Regression analysis shows a positive relationship between time and sales. The predicted values closely match actual sales, indicating steady business growth.

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CHAPTER V

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FINDINGS, SUGGESTIONS AND CONCLUSION

5.1 FINDINGS

Based on the analysis of working capital management and profitability of Hindustan Unilever Limited during the period from 2019-20 to 2023-24, the following findings were identified:

1. The gross working capital of the company showed a gradual increase during the study period.
2. The company maintained a positive net working capital position throughout the study period.
3. Current assets were sufficient to meet current liabilities in most of the years.
4. The current ratio indicated a satisfactory liquidity position.
5. The quick ratio showed that the company possessed adequate liquid assets to meet immediate obligations.
6. The schedule of changes in working capital revealed effective management of current assets and current liabilities.
7. Working capital turnover ratio indicated efficient utilization of working capital for generating sales.
8. Gross profit ratio remained stable during the study period.
9. Operating profit ratio reflected efficient control over operating expenses.
10. Operating ratio remained within an acceptable range, indicating good cost management.
11. Net profit ratio showed consistent profitability performance.
12. Trend analysis revealed a positive growth trend in sales and profits.
13. Regression analysis indicated a positive relationship between working capital management and profitability.
14. The company maintained a balance between liquidity and profitability.
15. Effective working capital management contributed significantly to the financial performance of the company.

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5.2 SUGGESTIONS

Based on the findings of the study, the following suggestions are made:

1. The company should continue maintaining an optimum level of working capital.
2. Inventory management practices should be further strengthened to reduce unnecessary holding costs.
3. Cash management should be monitored regularly to ensure effective utilization of funds.
4. Trade receivables should be collected efficiently to improve liquidity.
5. The company should periodically review its current liabilities to maintain a healthy liquidity position.
6. Advanced forecasting techniques may be adopted for better working capital planning.
7. Regular monitoring of liquidity ratios should be undertaken.
8. Cost control measures should be strengthened to improve profitability.
9. The company should maintain a proper balance between liquidity and profitability.
10. Continuous evaluation of working capital components will help achieve long-term financial stability and growth.

5.3 CONCLUSION

Working capital management plays a vital role in the success and profitability of any business organization. The present study examined the impact of working capital management on the profitability of Hindustan Unilever Limited during the period from 2019-20 to 2023-24.

The analysis was carried out using various tools such as Gross Working Capital Analysis, Net Working Capital Analysis, Schedule of Changes in Working Capital, Current Ratio, Quick Ratio, Working Capital Turnover Ratio, Gross Profit Ratio, Operating Profit Ratio, Operating Ratio, Net Profit Ratio, Trend Analysis, and Regression Analysis.

The findings indicate that Hindustan Unilever Limited maintained a sound liquidity position and efficiently managed its working capital throughout the study period. The company demonstrated stable profitability, efficient utilization of resources, and consistent growth in sales and profits.

The study concludes that effective working capital management has a positive impact on profitability and overall financial performance. Efficient management of current assets and current liabilities enables the company to maintain liquidity, improve operational efficiency, and achieve sustainable growth.

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REFERENCES AND ARTICLES REFERED

The following strategic literature and secondary revies portfolios have been analyzed over the draft build timeine:

ARTICLE 1

Title : *A Study on the Working Capital Management of Hindustan Unilever Limited*
Authors : Augustina Alphonse &Sai Sri Lahari Publisher : IRJAEM
Year : 2024

ARTICLE 2

Title : *A Study on Working Capital Management in Hindustan Unilever Limited*
Publisher : ResearchGate
Year : 2023

ARTICLE 3

Title : *A Study on Working Capital Management of Hindustan Unilever Limited (HUL)*
Publisher : Paripex – Indian Journal of Research Year : 2020

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